

Part-time jobs

Getting a part-time job can be a great way for teens to gain work experience, make new friends, and take the first steps toward financial independence. There are laws about when teens can legally start work and how many hours they are allowed to do each week. A part-time job should not interfere with the teen's school life, especially during test time.

▷ Paper route

Doing simple jobs teaches teens about responsibility and can help them develop people skills.



GOOD TO KNOW

Tax

Tax is an amount of money paid to the government, which is charged on income, profits, goods, and services. The government uses this money to pay its employees (like the police and teachers) and to build roads. There are different rates of tax depending on the level of income a person earns, but it usually does not kick in until the earnings are above a certain amount. This means teens don't normally pay any tax for part-time or seasonal work.

Bank accounts

A bank account is a place where a person can store their money and take it out when they want it. There are many different options available when opening a bank account. Some accounts may charge fees for maintaining the account, while others pay interest on positive balances or have an overdraft (the ability for the account to be in debt).



△ Debit cards

Most bank accounts will offer a debit card, which allows users to take out money that is already in the account.

Savings

Saving any spare money can help teens to afford things they need or want in the future. Many banks offer simple savings accounts for teens, but it's a good idea to shop around for the best rates and perks. Setting up a regular payment to a savings account can take the hassle out of saving.

▽ Saving up

If teens want to buy something expensive, such as an electronic device or driving lessons, a savings plan can help them to achieve their goal eventually.



PARENT TIPS

Setting a good example

- If you're the type of person who budgets and saves, your teen is likely to learn this from you.
- If you've had financial problems in the past, it can be useful to talk about this to your teen, so they understand how mistakes can be made and what to avoid.
- A great way to encourage and educate your teen about money is to include them in some of your financial decisions, such as shopping around for car insurance or vacations.